

Marvell Technology, Inc.

MRVL NASDAQ

Hold	\$205.83 ▼ 2.17%	12M Price Target \$240.00	52-Week Range \$61.44 – \$329.88	Market Cap \$184.98B
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MRVL: Google Deal Cheered, But Stock Keeps Bleeding

WHAT HAPPENED

- MRVL is down another 2.2% today and has now shed ~15% in a week — even after Jim Cramer publicly hyped a \$12B custom chip deal with Google. When a stock falls on unambiguously good news, that's the market telling you something: expectations were even higher than the deal delivered, or people are worried Broadcom (AVGO) is quietly eating MRVL's lunch in the custom silicon race.
- Volume today collapsed to ~8.7M shares vs 40M+ last week — the panic selling is drying up, which often means we're closer to a short-term bottom than a top. Options flow backs this: put/call ratio of 0.34 (traders buying 3x more calls than puts) with unusual call buying at \$205-215 strikes for September expiry — smart money is positioning for a bounce.

WHY IT MATTERS

The Google deal is real revenue, but the sell-off tells you the AI custom silicon narrative is shifting from "MRVL wins everything" to "MRVL splits the pie with Broadcom." That's a meaningful re-rating — the stock was priced for dominance, not duopoly. Going forward, watch whether MRVL can prove its Trainium (Amazon) and Google TPU-adjacent wins translate into gross margin expansion, not just top-line growth — because the market is now demanding profitability proof, not promises. The bigger implication: with \$185B market cap and forward P/E near 75x (you're paying \$75 today for every \$1 of next year's earnings), MRVL needs the political/spending backdrop to stay favorable or the multiple compresses fast.

POLICY & POLITICAL WATCH

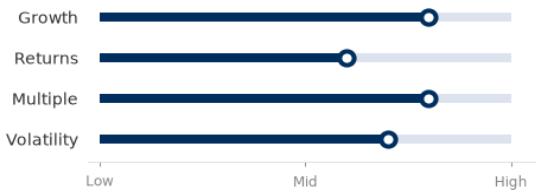
The CHIPS and Science Act remains the single biggest tailwind — MRVL benefits directly from domestic semiconductor design incentives and the ~\$52B in federal semi funding still flowing through. Watch two things: (1) the Trump administration's ongoing review of CHIPS Act disbursements — any clawback or restructuring could hit sentiment across the sector, and (2) the escalating China export controls on advanced chips, which cut both ways for MRVL (limits their China revenue, but also blocks Chinese competitors from advanced nodes). The AI Diffusion Rule and potential new tariffs on Taiwan-made silicon (MRVL is heavily TSMC-dependent) are the hidden risk nobody's pricing in yet.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$205.83
12M Price Target	\$240.00
Upside / (Downside)	+16.6%
Market Cap	\$184.98B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.75
FY2027E EPS	\$3.90
Fwd P/E	74.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$230.00	\$210.00	\$185.00
6 Months	\$275.00	\$235.00	\$175.00
1 Year	\$320.00	\$240.00	\$160.00
2 Years	\$400.00	\$290.00	\$150.00
5 Years	\$600.00	\$380.00	\$180.00
10 Years	\$900.00	\$500.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.8%) and Comm Services (+1.8%) are leading — Materials often signals infrastructure spending expectations, and Comm Services benefits from ad-tech and AI-monetization narratives. Both are consistent with a "reflation + AI capex" backdrop.

COOLING OFF: Semiconductors specifically are seeing profit-taking after a huge run — Micron up 685% in a year (per today's Zacks note) tells you how stretched the group got. Money is rotating from the "AI winners" into laggards.

ROTATION WATCH: Cash is rotating from high-multiple AI semis (MRVL, AVGO) into cheaper cyclicals and defensives — classic late-summer profit taking. If this continues into September (historically the worst month for stocks), MRVL could see another leg down before a Q4 recovery.

RELATED PLAY: If MRVL's custom silicon story holds, the picks-and-shovels play is TSMC (they manufacture MRVL's chips) and Applied Materials/Lam Research (they sell the equipment TSMC uses). Less binary, more diversified exposure to the same trend.

WHO'S WINNING IN THIS SPACE?

- MU (Micron): Up 685% in a year on HBM memory demand for AI accelerators — direct beneficiary of the same hyperscaler capex driving MRVL
- AVGO (Broadcom): Emerging as the perceived winner in custom AI silicon vs MRVL — every AVGO up-day is now an MRVL down-day

MRVL CONTEXT: MRVL is clearly LAGGING its AI-semi peers right now — down 15% in a week while MU and AVGO hold up. That's a warning sign: when a stock underperforms its peer group on good news, the market is telling you the competitive narrative has shifted. Either MRVL delivers a shock-and-awe earnings print to reclaim the narrative, or it stays a "show me" story for the next quarter.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$185-195 on continued pullback

Time Horizon: 12-24 months

Thesis Invalidation: Loss of AWS/Google custom silicon share to Broadcom, or CHIPS Act rollback

Hedging: Pair with short AVGO or long SMH ETF to isolate MRVL-specific risk